

SavePredictedExams — SME

Economics

Higher level / Standard level

Paper 2

SME Predicted Paper Set — Moderate

1 hour 45 minutes

Instructions to candidates

- Do not open this paper until instructed to do so.
- You are permitted access to a calculator for this paper.
- Unless otherwise stated in the question, all numerical answers must be given exactly or correct to two decimal places.
- You must show all your working.
- Answer **one** question.
- Use fully labelled diagrams and references to the text/data where appropriate.
- The maximum mark for this examination paper is **[40 marks]**.

Answer one question.**1. Read the extracts and answer the questions that follow.****Text A — Overview of Vietnam**

1. Vietnam is a Southeast Asian economy with a population of 98 million, considered one of the most dynamic emerging economies in the region. Its real GDP grew by an average of 6% annually between 2010 and 2019, reaching **\$409 billion** in 2022, up from **\$116 billion** in 2010.
2. Manufacturing and exports have driven much of Vietnam's economic success. The country is a global hub for textiles, footwear and electronics assembly, and hosts significant manufacturing operations from multinational corporations such as Samsung, Intel and Nike.
3. Agriculture still plays an important role, employing around 30% of the workforce and contributing 12% of GDP. Key agricultural products include rice, coffee, cashew nuts and seafood. Rice is a staple food for the population, and rice farmers have benefited from government programmes that provide low-interest loans and subsidised fertiliser.
4. Inflation has remained moderate compared with regional peers, averaging 3.2% in 2022. However, global energy prices have put upward pressure on transport and electricity costs.
5. Vietnam has signed numerous free trade agreements, including CPTPP and EVFTA with the European Union. These agreements have reduced tariffs and boosted exports, though Vietnamese firms face competition from cheaper imports.
6. **Unemployment** remains low at around 2.2%, although underemployment is much higher in rural areas. The government has invested heavily in vocational training and higher education to raise labour productivity.
7. Environmental concerns have grown. Rapid industrialisation has contributed to urban air pollution, deforestation, and plastic waste in major rivers. The government is considering tighter regulation and the introduction of a carbon price.

Text B — Foreign Direct Investment in Vietnam

1. Vietnam has become a magnet for **foreign direct investment (FDI)**. Registered FDI inflows reached a record \$22.4 billion in 2022. The country benefits from a young workforce, low wages, political stability and strategic trade agreements.
2. Multinationals have relocated production from China to Vietnam as part of the ‘China plus one’ strategy, a trend accelerated by US–China trade tensions. Major beneficiaries include electronics assembly and apparel manufacturing.
3. Critics of FDI argue that much of the value added remains in the hands of foreign firms rather than Vietnamese suppliers. Domestic firms often struggle to meet the quality standards required by MNCs. The government has launched programmes to support local suppliers and deepen participation in global value chains.
4. There are also concerns about environmental damage. Some foreign firms have been accused of failing to meet environmental standards, releasing untreated wastewater into rivers and generating substantial plastic waste, a **negative externality** borne by local communities.
5. Despite these concerns, Vietnam continues to position itself as an attractive destination for FDI, offering tax incentives in high-tech parks and streamlined approval procedures.

Table 1: Vietnam — selected indicators

Year	Real GDP (US\$ bn)	FDI inflows (US\$ bn)	Inflation (%)	Unemployment (%)
2018	310	19.1	3.5	2.0
2019	334	20.3	2.8	2.2
2020	346	19.0	3.2	2.7
2021	366	19.7	1.8	3.1
2022	409	22.4	3.2	2.2

Question 1 continued

- (a) (i) Define the term **foreign direct investment (FDI)** indicated in bold in the text (Text B, Paragraph 1). **[2]**
- (a) (ii) Define the term **negative externality** indicated in bold in the text (Text B, Paragraph 4). **[2]**
- (b) (i) Using information from Text A, Paragraph 1, calculate the percentage change in Vietnam's real GDP between 2010 and 2022. **[2]**
- (b) (ii) Using Table 1, calculate the average annual FDI inflow into Vietnam from 2018 to 2022. **[3]**
- (c) Using an AD/AS diagram, explain how increased FDI inflows (Text B, Paragraph 1) could benefit economic growth in Vietnam. **[4]**
- (d) Using a negative externality diagram, explain how the pollution generated by foreign firms (Text B, Paragraph 4) represents market failure. **[4]**
- (e) Using a demand and supply diagram, explain how the government's provision of subsidised fertiliser (Text A, Paragraph 3) affects the market for rice. **[4]**
- (f) Using a diagram, explain how the reduction of tariffs under the EVFTA (Text A, Paragraph 5) may affect domestic Vietnamese producers of goods imported from the EU. **[4]**
- (g) Using information from the text/data and your knowledge of economics, evaluate the view that FDI is the most effective strategy for promoting economic development in Vietnam. **[15]**

2. Read the extracts and answer the questions that follow.

Text A — Kenya's Economy

1. Kenya is the largest economy in East Africa, with nominal GDP of **\$113 billion** in 2022. The economy is services-led, with a growing digital-financial-services sector built on the success of mobile-money platforms such as M-PESA.
2. Agriculture remains important, contributing roughly 20% of GDP and employing more than 40% of workers. Major export crops include tea, coffee and cut flowers. Small-scale farmers are vulnerable to drought and volatile commodity prices.
3. **Inflation** rose sharply to 9.1% in October 2022, driven by higher food and fuel prices. The Central Bank of Kenya raised its benchmark interest rate several times in an attempt to anchor inflation expectations.
4. The Kenyan shilling has depreciated against the US dollar, raising the cost of imports including refined petroleum, machinery and pharmaceuticals. Policymakers are concerned about the impact on the current account and on living standards.
5. Kenya has made substantial progress on poverty reduction, but income inequality remains high. The government uses progressive **income tax** and cash transfers to low-income households as redistributive tools.

Text B — Kenya and the East African Community (EAC)

1. Kenya is a founding member of the East African Community (EAC) **customs union**, which also includes Uganda, Tanzania, Rwanda, Burundi, South Sudan and the Democratic Republic of Congo. The EAC allows tariff-free trade in most goods between members.
2. Kenyan manufacturers of cement, steel and processed foods benefit from access to the larger regional market. However, some local producers fear increased competition from Tanzanian and Ugandan firms, which may have lower production costs.
3. The EAC also has a common external tariff against imports from outside the bloc. Kenyan consumers have complained that this raises the price of some imported goods.
4. Critics argue that trade diversion can outweigh trade creation in some sectors, while supporters highlight job creation and economies of scale for regional producers.

Table 2: Kenya — selected macroeconomic data

Year	Inflation (%)	Unemployment (%)	Exchange rate (KES per US\$)	Current account (% of GDP)
2018	4.7	5.2	101	-5.4
2019	5.2	5.0	101	-5.2
2020	5.3	5.4	106	-4.7
2021	6.1	5.7	110	-5.1
2022	7.6	5.5	118	-5.5

Question 2 continued

- (a) (i) Define the term **inflation** indicated in bold in the text (Text A, Paragraph 3). **[2]**
- (a) (ii) Define the term **customs union** indicated in bold in the text (Text B, Paragraph 1). **[2]**
- (b) (i) Using Table 2, calculate the percentage depreciation of the Kenyan shilling against the US dollar between 2018 and 2022. **[3]**
- (b) (ii) Using a supply and demand diagram, illustrate the likely effect on the foreign-exchange market for the Kenyan shilling of the current account deficits shown in Table 2. **[2]**
- (c) Using an AD/AS diagram, explain how higher global fuel prices (Text A, Paragraph 3) may cause cost-push inflation in Kenya. **[4]**
- (d) Using an appropriate diagram, explain how the Central Bank's interest rate rise (Text A, Paragraph 3) affects aggregate demand in Kenya. **[4]**
- (e) Using a tariff diagram, explain how the EAC's common external tariff (Text B, Paragraph 3) may affect Kenyan consumers of imported goods. **[4]**
- (f) Using an appropriate diagram, explain how a progressive income tax (Text A, Paragraph 5) can help reduce income inequality in Kenya. **[4]**
- (g) Using information from the text/data and your knowledge of economics, discuss the economic impact on Kenya of membership in the East African Community (EAC). **[15]**